Module 2: Operations and Business Model

Start here — Affirm

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- FY2025 GMV was $36.7 billion; revenue was $3,224.4 million.
- Transaction costs were about 4.75 cents per GMV dollar, against about 8.8 cents of revenue.
- The top five partners accounted for about 47% of GMV.

Three terms

- GMV: the total value of transactions passing through a platform.
- Take rate: revenue retained as a share of transaction value.
- Contribution: revenue left after the variable costs of serving that business.

Worked example — discuss before opening the simulation

Illustrative startup: a $100 order generates a $10 platform fee and $6 in variable costs. Contribution is $4 before fixed costs. Doubling orders doubles contribution only if the per-order economics hold.

Readiness check: Which costs grow with each transaction, and what remains to pay fixed costs? Ask a teammate to explain the task back before starting.

What you produce

- **During the simulation:** one decision in words, one supporting figure or passage, one trade-off, and one condition that would change your mind.
- **Account Manager:** rank the four lead decisions 1–4 and allocate 100 priority points in blocks of 10; explain the first priority with evidence. These are priority weights, not course-grade points.
- **Before leaving:** save your individual decision record. If you finish early, start the venture workshop below.
- **After discussion:** submit your individual reflection through the existing HuskyCT assignment. See the reflection guide. Keep the current deadline; from October 20 onward, aim for 300–500 words.

Thursday venture workshop — 15–20 minutes

Draw the money flow for one sale in your venture: customer payment, revenue retained, variable costs, and contribution. Identify a cost assumption to test.

Output: A one-sale economics table for Midterm Section C. Add it to your shared project document; this is preparation for the project, not a new separately graded assignment.

Debrief question: What did discussion change about your original decision? Explain the evidence, rather than reporting only an option letter.

Takeaway: Trace what each sale keeps after variable costs before recommending growth.

Class rhythm

- **Tuesday (75 minutes):** 10 minutes concept and example; 5 minutes task walkthrough; 10 minutes role reading; 25 minutes decisions and team discussion; 15 minutes comparison; 10 minutes saving evidence and starting the venture application.
- **Thursday (75 minutes):** 10 minutes concept recap; 35 minutes selected role discussion and feedback; 20 minutes venture workshop; 10 minutes decision record and reflection questions.

Read instructions aloud slowly, pause after each step, and invite a student to restate what must be produced. Use the static packet and shared notes if the platform lags; resume the discussion without waiting on the tool.

Access after class

The accompanying StudentPacket.html / .pdf and Debrief.html / .pdf can be opened without joining a simulation group. Save the packet and your own record before leaving. The same resources are linked from the deployed slide folder.